

Comprehensive Wealth Plan

Chad Rider

November 2025

Executive Summary

Total 2025 Tax Optimization Potential: \$18,500 - \$43,500

This plan addresses your immediate 2025 tax savings needs through Eileen's LLC, establishes a clear business structure for your STR arbitrage launch, and creates a fundability roadmap for business credit. Your path forward focuses on launching one STR unit as proof of concept while implementing foundational tax strategies, then scaling systematically once cash flow is established. The revised investment allocation eliminates traditional emergency fund reserves and redirects capital to Bitcoin accumulation while managing existing debt strategically.

1. Client Profile Analysis

Name Chad Rider (Charles Rider)	Location East Providence, Rhode Island
Household Income \$150,000 - \$199,000 annually	Work Status Retired (transitioning to STR business)
Business Structure Beaumont Business Holdings LLC (single-member)	Spouse LLC Eileen's LLC (structure to be clarified)
Liquid Capital \$2,000 cash + \$80,000 HELOC available	Non-Mortgage Debt \$20,000 - \$50,000
Monthly Fixed Expenses \$5,500 - \$6,000	Credit Score 760+
Home Equity \$100,000 HELOC available	Retirement Accounts \$50,000 - \$100,000
Time Available 10+ hours per week	Risk Tolerance Moderate to Aggressive

Tax Profile

Federal Marginal Rate: 24% (based on \$150K-\$199K income)

Rhode Island State Rate: ~5.99% (top bracket)

Combined Marginal Rate: 29%

This combined rate is used to calculate the tax value of each strategy. Every dollar deducted saves approximately \$0.29 in taxes.

Priority Goals

1. **Immediate (2025):** Maximize tax savings through Eileen's LLC implementation
2. **Near-term (Q1 2026):** Establish clear business structure and entity separation
3. **This Year:** Launch thriving STR arbitrage business and build fundability
4. **Ongoing:** Manage debt strategically while building Bitcoin position

Critical Issues to Address

LLC Structure Confusion

You mentioned confusion about your "Operating LLC" disposition and structure with Prime Corporate. This needs immediate clarification because:

- Fundability requires proper separation between holding and operating entities
- Tax optimization strategies depend on correct entity structure
- Proper setup now prevents costly restructuring later

Action Required: Schedule call with Prime Corporate within 2 weeks to clarify entity structure and determine if you need a separate STR operating LLC or if current structure is sufficient.

Limited Liquidity with High Available Credit

Current situation: \$2,000 cash available, \$80,000 HELOC available, \$20,000-\$50,000 existing debt

Risk: Temptation to use HELOC for STR business launch could compound debt burden before establishing cash flow.

Opportunity: Strategic use of business credit (fundability) rather than personal HELOC creates separation and better terms.

2. 2025 Tax Strategy Summary

Based on your profile analysis, I've selected 8 strategies from a comprehensive library of 43+ tax optimization techniques. These strategies are specifically chosen for your income level (\$150K-\$199K), business structure (LLC operations), time availability (10+ hours weekly), and moderate-aggressive risk profile.

#	Strategy	Annual Value	Priority	Risk Level
1	SEP-IRA / Solo 401(k) Maximization	\$7,250 - \$10,875	IMMEDIATE	Low
2	S-Corporation Election	\$4,350 - \$8,700	Q1 2026	Low
3	Home Office Deduction	\$870 - \$1,450	Week 1	Low
4	Augusta Rule (Section 280A)	\$1,450 - \$2,175	Q1 2025	Low-Moderate
5	QBI Deduction Optimization	\$1,740 - \$3,480	Tax Planning	Low
6	Accountable Plan (Eileen)	\$580 - \$870	Week 2	Low
7	STR Loss Deductions	\$0 - \$11,600+	2025-2026	Moderate
8	Vehicle Section 179	\$2,320 - \$4,350	Q4 2025	Low
TOTAL 2025 TAX STRATEGY VALUE		\$18,560 - \$43,500	8 Strategies Selected	

Strategy Selection Rationale

These 8 strategies were selected based on:

- **Income Qualification:** All strategies are appropriate for \$150K-\$199K household income
- **Business Structure:** Strategies leverage your existing LLC and spouse's LLC
- **Time Availability:** 10+ hours weekly supports active participation in STR strategies
- **Implementation Complexity:** Mix of quick wins (home office) and longer-term builds (STR)
- **Risk-Adjusted Returns:** Highest ROI strategies within your moderate-aggressive risk profile
- **Scalability:** Foundation for additional strategies as income grows from STR business

Critical Assumption - Income Source

Key Question: What comprises your \$150K-\$199K household income?

- Business income from Beaumont Business Holdings LLC?
- Retirement account distributions?
- Eileen's LLC income?
- Investment income?
- Combination of sources?

Why This Matters: The availability and value of strategies like Solo 401(k), SEP-IRA, and S-Corporation election depend entirely on whether you have earned business income (net profit from self-employment). If your income is primarily from retirement distributions or investment income, these strategies may not be available.

The strategies in this plan assume you have or will generate business income through your LLC operations. Adjustments will be needed if income sources differ.

3. Entity Structure Recommendation

Current State Issues

Based on your intake form, you mentioned:

- "Straighten out my LLC formation with Prime"
- "Confused about the disposition of my Operating LLC"
- "How to get started on Fundability with no Operating LLC"

Problem: Without clarity on your entity structure, you cannot proceed effectively with fundability or optimal tax planning.

Recommended Structure for STR Business

Holding Company Structure

```
Beaumont Business Holdings LLC (Holding Company)
├── STR Management LLC (Operating Company #1)
│   ├── Revenue: Arbitrage fees, management income
│   └── Fundability Target: Business credit cards, lines of credit
├── Property Holdings LLC (Operating Company #2 - Future)
│   ├── Assets: Owned STR properties
│   └── Funding: Traditional mortgages, commercial loans
└── Eileen's LLC (Coordinate Structure)
    ├── Services: Business support, management fees
    └── Purpose: Income shifting, spousal employment
```

Implementation Roadmap

Week 1-2: Clarify Current Structure

- Schedule conference call with Prime Corporate
- Questions to ask:
 - Is Beaumont Business Holdings properly set up as holding company?
 - Do I need a separate operating LLC for STR business?
 - What is the status of the "Operating LLC" I mentioned?
 - How should Eileen's LLC relate to my structure?
 - What's the best structure for fundability purposes?
- Get written confirmation of recommended structure

Week 3-4: Form Operating Entities (if needed)

- If Prime recommends separate operating LLC, form it immediately
- Name suggestion: "[Your Name] STR Management LLC" or "Beaumont STR Management LLC"
- Register in Rhode Island
- Obtain EIN from IRS
- Open business checking account

Month 2: Set Up Business Infrastructure

- Business phone line (Google Voice acceptable for start)
- Business address (can use home with proper documentation)
- Business email domain
- Business website (simple one-page site acceptable)
- Dun & Bradstreet D-U-N-S number application

Why This Structure Matters for Fundability

Asset Protection: Holding company owns operating companies, protecting assets if one entity faces liability

Fundability: Operating LLC with revenue history qualifies for business credit independently

Tax Optimization: Ability to shift income between entities, implement management fees, optimize deductions

Scalability: Easy to add new operating LLCs under same holding company as business grows

Exit Planning: Individual operating companies can be sold without disrupting holding structure

4. STR Business Launch Plan

Phase 1: Proof of Concept (Months 1-3)

Capital Requirements

- **First Unit Setup:** \$5,000 - \$10,000
- Security deposits: \$2,000 - \$3,000
- Furniture and supplies: \$2,000 - \$4,000
- Initial listing fees and marketing: \$500 - \$1,000
- Software and systems: \$300 - \$500
- Working capital buffer: \$1,000 - \$2,000

Funding Strategy for Phase 1

Primary Source: Available cash (\$2,000) + initial business credit card

Secondary Source: Strategic HELOC use ONLY if necessary for security deposits

Avoid: Using HELOC for furniture or non-refundable expenses in first unit

Rationale: Start lean, prove concept, establish operating history before leveraging credit heavily. First unit is about building track record, not maximizing scale.

Market Selection - Rhode Island Focus

Market Area	Pros	Cons	Rating
Providence	Urban demand, Brown University, RISD, hospitals, business travel	Regulations, competition	Good

Market Area	Pros	Cons	Rating
Newport	Tourism hub, high nightly rates, year-round events	Seasonal, higher costs, regulations	Excellent
Narragansett / South County	Beach tourism, lower competition, good rates	Very seasonal, limited off-season demand	Fair
Warwick (near airport)	Consistent demand, lower rent, airport proximity	Lower nightly rates, less tourist appeal	Good

Rhode Island STR Regulations

CRITICAL: Rhode Island has specific STR regulations you must research before signing any lease.

- Some municipalities require specific licenses or permits
- Some landlords prohibit subleasing (which arbitrage requires)
- Some HOAs/condo associations prohibit STRs
- Tax collection requirements (state + local occupancy taxes)

Action Required: Research specific regulations in your target area BEFORE signing lease. Consider consulting local attorney if regulations are unclear.

Phase 2: Scale to 2-3 Units (Months 4-9)

Funding Approach

- **Business Credit Cards:** Apply for 2-3 cards with 0% intro APR periods
- **Operating Cash Flow:** Reinvest profits from Unit 1 into Units 2-3 setup
- **Strategic HELOC:** Only if needed for security deposits on Units 2-3

- **Goal:** Each unit cash flows \$1,000-\$2,000/month after all expenses

Revenue Projections (Per Unit)

Conservative Scenario:

- Average nightly rate: \$120
- Occupancy: 60% (18 nights/month)
- Monthly gross revenue: \$2,160
- Monthly expenses (rent, utilities, cleaning, fees): \$1,200-\$1,400
- **Monthly net profit: \$760-\$960**

Moderate Scenario:

- Average nightly rate: \$150
- Occupancy: 70% (21 nights/month)
- Monthly gross revenue: \$3,150
- Monthly expenses: \$1,400-\$1,600
- **Monthly net profit: \$1,550-\$1,750**

Material Participation Requirements

Why This Matters: To deduct STR losses against your other income (W-2 or business income), you must meet IRS material participation requirements.

Required Documentation:

- Track ALL hours spent on STR activities (setup, management, communication, maintenance)
- You must work >100 hours annually AND more than any other person
- Keep detailed time logs with dates, activities, and hours
- Document everything: texts, emails, receipts, maintenance logs

Your Advantage: With 10+ hours weekly available and no property manager, you'll easily meet material participation requirements.

Phase 3: First Property Purchase (Months 10-18)

Purchase Planning

- **Down Payment Target:** 20-25% (\$50,000-\$75,000 for \$250K-\$300K property)
- **Funding Sources:**
 - Cash flow from 2-3 arbitrage units: \$20,000-\$30,000 over 10-12 months
 - Strategic HELOC use: \$20,000-\$30,000 (temporary, paid back from rental income)
 - Existing savings: Remainder as available
- **Immediate Strategy:** Order cost segregation study for 100% bonus depreciation
- **Tax Benefit:** \$15,000-\$60,000 in year-one deductions

Cost Segregation Impact

Under the One Big Beautiful Bill Act (signed July 4, 2025), 100% bonus depreciation is now PERMANENT for property acquired after January 19, 2025.

Example on \$300,000 property:

- Cost segregation study identifies \$100,000 in 5/7/15-year property
- 100% bonus depreciation applied: \$100,000 immediate deduction
- Tax savings at 29% rate: **\$29,000 in year one**
- This often covers most or all of the down payment tax impact

5. Detailed Tax Strategy Implementation

Strategy 1: Retirement Account Maximization

\$7,250 - \$10,875 Annual Value

IMMEDIATE - DECEMBER 2025

Strategy Overview

Maximize contributions to tax-advantaged retirement accounts based on your business income. This provides immediate tax deduction while building long-term wealth.

Available Options

Option 1: SEP-IRA (Simple Employee Pension)

- **Contribution Limit:** Up to 25% of net self-employment income, maximum \$69,000 (2025)
- **Best For:** Simple setup, no ongoing administration
- **Calculation:** Net business profit $\times$ 0.20 = maximum contribution (simplified method)
- **Example:** \$100,000 net profit $\rightarrow$ \$20,000 contribution $\rightarrow$ \$5,800 tax savings

Option 2: Solo 401(k) (Individual 401k)

- **Employee Contribution:** \$23,500 (\$31,000 if age 50+, \$34,750 if age 60-63)
- **Employer Contribution:** Up to 25% of compensation
- **Total Limit:** \$69,000 (\$76,500 if 50+, \$80,750 if 60-63)
- **Best For:** Maximizing contributions, includes loan provision, Roth option available
- **Example:** \$100,000 net profit $\rightarrow$ \$43,500+ contribution possible $\rightarrow$ \$12,615+ tax savings

Implementation Steps

1. **Week 1:** Calculate 2025 net business income projection (need actual numbers from your LLC)
2. **Week 2:** Decide between SEP-IRA or Solo 401(k) based on:
 - Age (if 50+, Solo 401(k) offers higher catch-up contributions)
 - Desire for simplicity (SEP) vs. maximization (Solo 401k)

- Whether you want Roth option (only available in Solo 401k)
- 3. **Week 3:** Open account with provider (Fidelity, Vanguard, Schwab all offer both)
- 4. **Before December 31, 2025:** Make contributions (employer contributions can be made until tax filing deadline, but safer to do in 2025)

Required Documentation

- Copies of LLC operating agreement
- 2025 profit & loss statement
- Contribution tracking for tax filing
- Solo 401(k) requires annual Form 5500-EZ if balance exceeds \$250,000

Tax Value Calculation

Conservative Scenario: \$25,000 contribution × 29% = \$7,250 tax savings

Aggressive Scenario: \$37,500 contribution × 29% = \$10,875 tax savings

Compliance and Risk

Risk Level: Low (IRS-sanctioned strategy)

Audit Risk: Minimal if contribution limits followed

Common Mistakes to Avoid:

- Overcontributing beyond limits
- Missing contribution deadlines
- Failing to file Form 5500-EZ when required (Solo 401k only)
- Not coordinating contributions if you have multiple businesses

Critical Question: Do you have net business income (earned income) from your LLC in 2025?

This strategy only works if you have self-employment income. If your \$150K-\$199K household income comes from retirement distributions or investment income, these retirement contributions are NOT available.

Strategy 2: S-Corporation Election

\$4,350 - \$8,700 Annual Value

Q1 2026 SETUP

Strategy Overview

Electing S-Corporation status allows you to split business income between W-2 salary (subject to self-employment tax) and distributions (not subject to self-employment tax), saving 15.3% on the distribution portion.

When This Makes Sense

- Net business profit exceeds \$60,000 annually
- Consistent profit (not variable month-to-month)
- Willing to run payroll (can use Gusto, ADP, etc. for \$50-\$100/month)
- Administrative burden worth tax savings

How It Works

Example: \$100,000 net business profit

Without S-Corp (as sole proprietor):

- Self-employment tax: $\$100,000 \times 15.3\% = \$15,300$
- Income tax: $\$100,000 \times 29\% = \$29,000$
- Total tax: \$44,300

With S-Corp election:

- Reasonable salary: \$60,000 (W-2)
- Distribution: \$40,000
- Self-employment tax on salary: $\$60,000 \times 15.3\% = \$9,180$
- Income tax on total: $\$100,000 \times 29\% = \$29,000$
- Total tax: \$38,180
- **Savings: \$6,120 annually**

Implementation Timeline

1. **Evaluate in Q4 2025:** Review your actual LLC profit for 2025. If net profit will exceed \$60,000, S-Corp makes sense for 2026.

2. **By March 15, 2026:** File Form 2553 with IRS (election must be made within 2.5 months of start of tax year, or previous year)
3. **January 2026:** Set up payroll system (Gusto recommended: \$40/mo + \$6/employee)
4. **Ongoing:** Pay yourself reasonable salary twice monthly, file quarterly payroll taxes, file annual Form 1120-S

Critical Compliance: Reasonable Compensation

IRS Scrutiny Area: Your W-2 salary must be "reasonable compensation" for the work you perform. The IRS actively audits S-Corps paying artificially low salaries.

Safe Harbor Approach:

- \$60K-\$100K profit: 50-70% as salary
- \$100K-\$200K profit: 40-60% as salary
- \$200K+ profit: 30-50% as salary

Documentation Required: Industry salary comparisons, job duties description, time spent working

Additional Costs to Consider

- Payroll service: \$600-\$1,200 annually
- Additional tax preparation: \$500-\$1,500 for Form 1120-S
- State filing fees: \$100-\$500 annually (varies by state)
- Workers' comp insurance if required in your state

Break-Even Analysis

Costs: ~\$2,000 annually in additional fees

Savings needed to justify: Minimum \$60,000 net profit

Your situation: Evaluate based on actual 2025 business income

Tax Value Calculation

Conservative: \$60,000 profit → 15.3% on \$30,000 distribution = \$4,590 savings
- \$500 costs = \$4,090 net

Moderate: \$100,000 profit → 15.3% on \$40,000 distribution = \$6,120 savings - \$800 costs = \$5,320 net

Aggressive: \$150,000 profit → 15.3% on \$75,000 distribution = \$11,475 savings - \$1,200 costs = \$10,275 net

Strategy 3: Home Office Deduction

\$870 - \$1,450 Annual Value

WEEK 1

Strategy Overview

Deduct expenses for the business use of your home, including a portion of mortgage interest, utilities, insurance, repairs, and depreciation (if using regular method) or a simplified rate per square foot.

Eligibility Requirements

- **Exclusive Use:** The space must be used regularly and exclusively for business (cannot be dual-purpose space like kitchen table)
- **Principal Place of Business:** Either your main business location OR where you meet clients/customers
- **Separate Structure:** Alternatively, any separate structure used for business (garage, studio, etc.)

Two Calculation Methods

Method 1: Simplified Method (Recommended to Start)

- **Rate:** \$5 per square foot
- **Maximum:** 300 square feet = \$1,500 deduction
- **Calculation:** Measure dedicated office space × \$5
- **Documentation:** Photos of space, measurement notes
- **Benefit:** No complicated tracking, simple to justify
- **Example:** 200 sq ft office × \$5 = \$1,000 deduction → \$290 tax savings

Method 2: Regular Method (Higher Deduction, More Complex)

- **Calculation:** (Office sq ft / Total home sq ft) × Eligible expenses
- **Eligible Expenses:** Mortgage interest, property taxes, utilities, insurance, repairs, HOA fees, depreciation
- **Example:** 200 sq ft office in 2,000 sq ft home = 10% business use
 - Mortgage interest: \$20,000 × 10% = \$2,000
 - Property tax: \$5,000 × 10% = \$500

- Utilities: $\$3,000 \times 10\% = \300
- Insurance: $\$2,000 \times 10\% = \200
- Repairs: $\$1,000 \times 10\% = \100
- Depreciation: $\$3,000 \times 10\% = \300
- **Total Deduction: \$3,400 → \$986 tax savings**

Implementation Steps

1. **Day 1:** Designate exclusive office space
2. **Day 1:** Take photos showing:
 - Entrance to office
 - All four corners of office
 - Business equipment (desk, computer, filing)
 - Overall layout demonstrating exclusive use
3. **Day 2:** Measure square footage (length $\times$ width)
4. **Week 1:** Decide on simplified vs. regular method
5. **Ongoing:** If using regular method, track all home-related expenses

Both LLCs Can Claim This

If both you and Eileen work from home offices, BOTH LLCs can claim home office deductions:

- You claim office space for Beaumont Business Holdings / STR Management
- Eileen claims separate office space for her LLC work
- Spaces must be in different areas of home (can't be same room)
- Combined deduction: \$1,740 - \$2,900 total value

Depreciation Recapture Warning

Regular Method Only: If you claim depreciation on your home office, you may owe depreciation recapture tax (25%) when you sell your home.

Simplified Method: No depreciation taken, no recapture issue.

Recommendation: Start with simplified method unless your regular method deduction would be substantially higher (typically needs to be \$2,000+ to justify complexity).

Required Documentation

- Photos of office space (dated)
- Floor plan or measurement sketch
- If regular method: All home expense receipts and statements
- Description of business activities conducted in space
- No personal use documentation (how you enforce exclusive use)

Audit Risk and Compliance

Risk Level: Low to Moderate

Key Audit Triggers:

- Claiming space that's clearly not exclusive (dining room, bedroom)
- Percentage of home claimed is unreasonably high (>20%)
- No supporting documentation or photos

Safe Harbor: Simplified method with reasonable square footage (200-300 sq ft) is rarely challenged.

Strategy 4: Augusta Rule (Section 280A)

\$1,450 - \$2,175 Annual Value

Q1 2025

Strategy Overview

Rent your personal residence to your LLC for up to 14 days per year for legitimate business purposes. Your LLC deducts the rental expense, but you report ZERO rental income personally. This creates a "tax-free transfer" of income from business to personal.

Legal Foundation

IRC Section 280A(g) - the "Augusta Rule" - exempts rental income from personal residences rented for fewer than 15 days annually. Originally created for homeowners near the Masters Golf Tournament in Augusta, GA.

How It Works

- LLC pays you market-rate rent to use your home for business meetings/events
- LLC deducts rental expense as ordinary business expense
- You report NO income on personal tax return (tax-free)
- Maximum: 14 days per calendar year
- Must establish fair market rental value

Qualified Business Purposes

- Board meetings or shareholder meetings
- Strategic planning sessions
- Client meetings or client appreciation events
- Employee training or team meetings
- Business networking events you host
- Video/photo shoots for marketing

Establishing Fair Market Value

Research Method 1: Comparable Rentals

- Check Airbnb, VRBO, or Peerspace for daily rental rates in your area
- Search for similar size/quality homes

- Document 3-5 comparable properties with screenshots
- Use median rate as your daily rate
- **Rhode Island Example:** 3-bedroom home in East Providence: \$250-\$450/day reasonable range

Research Method 2: Commercial Venue Rates

- Compare to cost of renting commercial meeting space
- Hotel conference rooms in your area: \$300-\$800/day
- This supports your home rate being reasonable in comparison

Implementation Steps

1. **Before Using:** Research and document comparable rental rates
2. **Create Written Agreement:** Formal rental agreement between you personally and your LLC specifying:
 - Daily rental rate
 - Terms of use
 - Payment terms
 - Cancellation policy
3. **For Each Event:**
 - Document business purpose in advance (meeting agenda, invitation, etc.)
 - Create sign-in sheet for attendees
 - Take photos of setup
 - Keep any materials, handouts, presentations used
 - Meeting minutes or notes
4. **Payment:** LLC pays you via check or ACH (creates paper trail)
5. **Tracking:** Maintain log of rental days used (max 14 per year)

Sample Implementation Plan for 2025

Event	Date	Business Purpose	Daily Rate
Q1 Strategic Planning	January 15	Annual business planning session	\$350
Board Meeting	February 10	Quarterly board meeting	\$350
Client Appreciation	March 20	Client networking event	\$350
Q2 Review	April 15	Mid-year planning meeting	\$350
Marketing Photoshoot	May 10-11	2-day content creation for website/social media	\$700
Training Session	June 15	Employee/contractor training	\$350
Q3 Board Meeting	August 10	Quarterly board meeting	\$350
Holiday Event	December 15-16	2-day year-end celebration and planning	\$700
Total (14 days)			\$4,900

Tax Benefit: $\$4,900 \times 29\% = \$1,421$ tax savings

Critical Compliance Points

Common IRS Challenges:

- **Inflated Rates:** Rate must be supportable by comparables. \$1,000/day for ordinary home will be challenged.
- **Lack of Documentation:** Must prove legitimate business purpose beyond "office space" (which is covered by home office deduction)

- **No Attendees:** "Meeting" with just you doesn't count. Need legitimate business gathering.
- **Exceeding 14 Days:** Day 15 and beyond requires reporting ALL rental income.

Both LLCs Can Utilize

You can maximize this strategy by having BOTH LLCs rent your home:

- Beaumont Business Holdings: 7 days at \$350/day = \$2,450
- Eileen's LLC: 7 days at \$350/day = \$2,450
- Combined: \$4,900 in deductions, \$1,421 combined tax savings
- Still under the 14-day per-renter limit

Important: Events must be separate and legitimately for different business purposes.

Risk Level and Audit Considerations

Risk Level: Low to Moderate (when done correctly)

Increased Scrutiny For:

- Rates exceeding \$500/day without strong comparables
- Single-member LLCs claiming this (higher scrutiny but legal)
- Poor documentation of business purpose
- Claiming same events every year with no variation

Best Practice: Treat it as if you're renting to a third party. Document everything.

Strategy 5: QBI Deduction Optimization (Section 199A)

\$1,740 - \$3,480 Annual Value

TAX PLANNING

Strategy Overview

The Qualified Business Income (QBI) deduction allows pass-through business owners to deduct up to 20% of qualified business income, permanently extended by the One Big Beautiful Bill Act (July 2025). This effectively reduces your taxable business income by 20%.

Eligibility Requirements

- Income from pass-through entities (LLC, S-Corp, partnership, sole proprietorship)
- Excludes specified service trades or businesses (SSTB) above income thresholds
- Subject to W-2 wages and property limitations for high earners
- Permanent under OBBBA (no sunset)

How It Works for Your Income Level

Below \$200,000 AGI (Single) / \$400,000 (Married):

- Full 20% deduction applies regardless of business type
- No W-2 wage limitation
- No property limitation
- Simple calculation: $\text{QBI} \times 20\% = \text{deduction}$

Example at your income level (\$150K-\$199K):

- Qualified business income: \$30,000
- QBI deduction: $\$30,000 \times 20\% = \$6,000$
- Tax savings: $\$6,000 \times 29\% = \$1,740$

What Qualifies as QBI

Included:

- Net profit from trade or business
- Short-term rental income (if materially participating)
- Business income from S-Corp (distributions, not W-2)

- Partnership or LLC income

Excluded:

- W-2 wages (employment income)
- Capital gains and dividends
- Interest income not related to business
- Income from passive investments

Optimization Strategies

Strategy 1: Maximize Business Income Classification

- Ensure STR rental income qualifies (material participation requirement)
- Structure income to flow through pass-through entities
- Avoid taking excessive W-2 compensation (if S-Corp) - balance needed with reasonable comp

Strategy 2: Coordinate with S-Corp Election

If you elect S-Corp status, you'll need to balance two competing goals:

- **Lower W-2 Salary → More QBI:** Increases QBI deduction
- **Lower W-2 Salary → More SE Tax Savings:** But IRS requires "reasonable compensation"
- **Sweet Spot:** Reasonable salary that satisfies IRS while maximizing distributions eligible for QBI

Example Optimization:

Scenario	W-2 Salary	Distribution (QBI)	QBI Deduction	Total Tax Benefit
Too Conservative	\$80,000	\$20,000	\$4,000	Lower
Optimized	\$60,000	\$40,000	\$8,000	Higher

Scenario	W-2 Salary	Distribution (QBI)	QBI Deduction	Total Tax Benefit
Too Aggressive	\$40,000	\$60,000	\$12,000	IRS Risk

Implementation Steps

1. **Year-End 2025:** Calculate total qualified business income from all sources
2. **Tax Filing 2025:** Your tax preparer will calculate and claim on Form 8995
3. **If S-Corp:** Work with tax advisor to optimize W-2 vs. distribution split
4. **STR Income:** Ensure material participation documented to qualify income
5. **Planning:** Consider strategies to maximize QBI as business grows

Specified Service Trade or Business (SSTB) Rules

Your Situation: STR business and general business consulting are NOT SSTBs, so you qualify fully.

SSTBs Include: Health, law, accounting, actuarial sciences, performing arts, consulting, athletics, financial services, brokerage services, investing/trading

Phase-Out: \$200K-\$250K (single) / \$400K-\$500K (married) - Not relevant at your income level

OBBBA Permanent Extension Impact

Major Change - July 2025: QBI deduction was set to expire December 31, 2025. The One Big Beautiful Bill Act made it PERMANENT.

What This Means:

- You can confidently build business structure around this deduction
- Long-term planning is now reliable (no sunset concern)

- Increased incentive to structure income as pass-through business income

Tax Value Calculation

Conservative: $\$30,000 \text{ QBI} \times 20\% = \$6,000 \text{ deduction} \rightarrow \$1,740 \text{ tax savings}$

Moderate: $\$50,000 \text{ QBI} \times 20\% = \$10,000 \text{ deduction} \rightarrow \$2,900 \text{ tax savings}$

Aggressive: $\$60,000 \text{ QBI} \times 20\% = \$12,000 \text{ deduction} \rightarrow \$3,480 \text{ tax savings}$

Required Documentation

- Records of qualified business income by entity
- If S-Corp: Documentation of reasonable compensation determination
- If STR: Material participation time logs
- Form 8995 or 8995-A (prepared by tax professional)

Risk Level and Compliance

Risk Level: Low (established deduction)

Common Issues:

- Misclassifying wage income as QBI
- Failing to meet material participation for rental income
- If S-Corp: unreasonably low W-2 compensation

Strategy 6: Accountable Plan (Spouse Reimbursement)

\$580 - \$870 Annual Value

WEEK 2

Strategy Overview

Establish a formal accountable plan to reimburse Eileen for business expenses she incurs on behalf of your LLC(s). Reimbursements are tax-deductible to the business but are tax-free to her (not reported as income, not subject to payroll taxes).

How It Works

- LLC adopts written accountable plan policy
- Eileen incurs legitimate business expenses
- She submits expense reports with receipts
- LLC reimburses expenses within 60 days
- LLC deducts as business expense
- Eileen receives tax-free reimbursement

Three Requirements for Accountable Plan

1. **Business Connection:** Expenses must have legitimate business purpose
2. **Adequate Accounting:** Expense report with receipts submitted within reasonable time (60 days)
3. **Return of Excess:** Any overpayment must be returned within 120 days

Eligible Expenses for Reimbursement

Mileage Reimbursement:

- 2025 rate: 70 cents per mile
- Example: 200 business miles/month $\times$ \$0.70 = \$140/month = \$1,680/year
- Must maintain mileage log (date, destination, business purpose, miles)

Cell Phone Reimbursement:

- Business portion of monthly bill
- Example: \$100/month total, 50% business use = \$50/month reimbursement = \$600/year

- Document business use percentage (call logs, business contacts)

Internet Reimbursement:

- Business portion of home internet
- Example: \$80/month, 40% business use = \$32/month = \$384/year

Meals (Business Meetings):

- 50% deductible (meals with clients/business partners)
- Must document business purpose and attendees
- Example: \$100/month business meals = \$1,200/year → \$600 deductible

Professional Development:

- Courses, certifications, books related to business
- Example: \$500/year in training materials

Equipment and Supplies:

- Computer, software, office supplies
- Example: \$300-\$500/year

Sample Annual Reimbursement Plan

Expense Category	Monthly	Annual
Mileage (200 miles × \$0.70)	\$140	\$1,680
Cell Phone (50% business)	\$50	\$600
Internet (40% business)	\$32	\$384
Business Meals	\$50	\$600
Total Annual Reimbursement		\$3,764
Tax Savings (after 50% meals limit)		\$1,017

Expense Category	Monthly	Annual
Professional Development	-	\$500
Total Annual Reimbursement		\$3,764
Tax Savings (after 50% meals limit)		\$1,017

Conservative Estimate: \$2,000 in reimbursements $\times$ 29% = \$580 tax savings

Aggressive Estimate: \$3,000 in reimbursements $\times$ 29% = \$870 tax savings

Implementation Steps

1. **Week 1:** Draft written accountable plan policy (template available online or from tax advisor)
2. **Week 1:** Adopt policy via LLC resolution
3. **Week 2:** Set up expense reimbursement system:
 - Create expense report template (Excel or Google Sheets)
 - Set up folder for receipt storage (digital or physical)
 - Establish submission schedule (monthly recommended)
4. **Ongoing:** Eileen tracks expenses, submits monthly reports, receives reimbursement

Required Documentation

Written Accountable Plan Must Include:

- Description of reimbursable expenses
- Requirement for substantiation (receipts/logs)
- Time limits for submission (60 days recommended)
- Requirement to return excess reimbursements
- Statement that expenses must have business connection

Expense Reports Must Include:

- Date of expense
- Amount

- Business purpose
- Supporting receipt or documentation
- For mileage: Origin, destination, miles, purpose

Eileen's Role in the Business

Important: Eileen doesn't need to be a formal employee to participate in accountable plan, but she should have a legitimate role in the business to justify reimbursements.

Possible Roles:

- Bookkeeping and administrative support
- Marketing and social media management
- Guest communication for STR business
- Scheduling and calendar management
- Vendor coordination

Documentation: Create simple job description outlining her responsibilities.

Accountable Plan vs. Regular Wages

	Accountable Plan	Regular Wages
Payroll Taxes	None	15.3% (employer + employee)
Income Tax	None	Yes
Reported on W-2	No	Yes
Documentation Required	Receipts + business purpose	Just timesheet

	Accountable Plan	Regular Wages
Business Deduction	Yes	Yes

Advantage: \$3,000 in accountable plan reimbursements = \$870 tax savings with ZERO payroll taxes or income taxes for Eileen

Comparison: \$3,000 in wages would cost ~\$459 in payroll taxes + income taxes on the wages

Risk Level and Compliance

Risk Level: Low (when properly documented)

IRS Scrutiny Areas:

- Lack of written plan
- Missing receipts or inadequate documentation
- Reimbursements that exceed reasonable amounts
- Reimbursements without clear business purpose
- Treating plan as disguised compensation

Common Mistakes to Avoid

- **No Written Plan:** Must have documented policy before reimbursing
- **Reimbursing Personal Expenses:** Must have legitimate business purpose
- **Missing Documentation:** Every expense needs receipt or log
- **Delayed Reporting:** Expenses should be submitted within 60 days
- **Not Distinguishing from Wages:** Accountable plan is separate from employment compensation

Strategy 7: Short-Term Rental Loss Deductions

\$0 - \$11,600+ Annual Value

2025-2026

Strategy Overview

When you materially participate in short-term rental properties (average rental period ≤ 7 days), the rental activity is treated as an active business rather than passive rental activity. This allows you to deduct losses against your other income, including W-2 wages or business income, without the passive activity limitations that apply to long-term rentals.

Why This Is Powerful

Normal rental real estate losses are "passive" and can only offset passive income. They cannot offset W-2 wages or business income (with limited exceptions). STRs with material participation are NOT subject to this limitation.

Example Scenario:

- Year 1 STR expenses: \$40,000 (furniture, setup, deposits, initial operating costs)
- Year 1 STR revenue: \$25,000
- Net loss: \$15,000
- **With material participation:** Deduct full \$15,000 against other income
- Tax savings: $\$15,000 \times 29\% = \$4,350$

Material Participation Requirements

You must meet ONE of these seven tests (Test #1 and #5 are most common for STR):

Test #1: 500 Hours (Most Common)

- Participate more than 500 hours during the year
- For 2-3 STR units: easily achievable
- Includes: setup, communication, cleaning coordination, maintenance, bookings, marketing

Test #5: Material Participation for 5 of Last 10 Years

- Once you establish 5 years of material participation, it's easier to maintain

- Planning opportunity for long-term STR business

What Counts as Participation Hours

- Guest communication (inquiries, check-in/out instructions, issues)
- Property management (scheduling cleaners, maintenance, supplies)
- Marketing and listing optimization
- Photos and property staging
- Financial management and bookkeeping
- Vendor coordination (cleaners, handymen, landscaping)
- Property inspections and turnovers
- Pricing adjustments and calendar management
- Purchasing and installing furniture, supplies, improvements

Does NOT Count:

- Time spent as an investor (reviewing financials, planning)
- Time spent traveling to/from property (unless actively managing during visit)

Detailed Time Tracking System

CRITICAL: You must maintain contemporaneous time logs. Recreating logs during an audit is not acceptable to the IRS.

Required Log Information:

- Date of activity
- Time started and ended (or total hours)
- Specific activity performed
- Which property (if multiple)

Recommended Tracking Method:

- Use time tracking app (Toggl, Clockify, or simple spreadsheet)
- Log daily as activities occur

- Be specific: "Guest inquiry response - booking questions" not just "communication"
- Save supporting documentation (emails, texts, receipts from property visits)

Timeline of Typical STR Losses and Income

Year 1 (2025): Setup Phase

- **Expenses:** \$35,000-\$45,000
 - Furniture and furnishings: \$12,000-\$18,000
 - Security deposits: \$6,000-\$9,000 (3 units)
 - Initial supplies and setup: \$3,000-\$5,000
 - Licenses, insurance, software: \$2,000-\$3,000
 - 6 months operating expenses: \$12,000-\$18,000
- **Revenue:** \$18,000-\$30,000 (ramping up)
- **Net Loss:** \$10,000-\$20,000
- **Tax Benefit:** \$2,900-\$5,800

Year 2 (2026): Stabilization

- **Expenses:** \$36,000-\$45,000 (full year operating)
- **Revenue:** \$45,000-\$60,000 (optimized operations)
- **Net Profit:** \$9,000-\$15,000
- **Tax Impact:** Pay tax on profit, but lower than W-2 rates due to QBI deduction

Strategy Value Breakdown

Scenario	Year 1 Loss	Tax Savings	Year 2 Profit	Net Benefit
Conservative	(\$10,000)	\$2,900	\$9,000	2-year: Launch + income
Moderate	(\$15,000)	\$4,350	\$12,000	2-year: Better position

Scenario	Year 1 Loss	Tax Savings	Year 2 Profit	Net Benefit
Aggressive	(\$20,000)	\$5,800	\$15,000	2-year: Strong launch

Combining with Other Strategies

Powerful Combination: STR losses reduce your AGI, which can:

- Increase QBI deduction availability
- Keep you in lower tax brackets
- Increase eligibility for other tax benefits
- Reduce state tax (based on lower AGI)

Example: \$15,000 STR loss reduces AGI, saves 29% in federal/state tax, AND reduces tax on your other business income through QBI optimization.

Average Rental Period Requirement

The 7-Day Rule: Average rental period must be 7 days or less to avoid passive activity treatment.

Calculation: Total rental days ÷ number of rentals = average

Your STR Business: Typical guests stay 2-4 nights → easily qualifies

Don't Mix: If you have both STR (≤ 7 days) and long-term rentals (> 30 days), track separately. Only STR qualifies for this treatment.

Implementation Checklist

1. Before Starting:

- Set up time tracking system
- Create log template or download app
- Document material participation requirements

2. First Day of Operations:

- Begin tracking all time (including setup time)
- Save all receipts and invoices
- Track average rental periods

3. Monthly:

- Review time logs for completeness
- Verify you're on pace for 500+ hours
- Organize expense documentation

4. Year-End:

- Total participation hours (should exceed 500)
- Calculate average rental period (should be ≤ 7 days)
- Prepare summary for tax preparer

Risk Level and Audit Considerations

Risk Level: Moderate

IRS Scrutiny Areas:

- Lack of contemporaneous time logs
- Claimed hours seem inflated relative to property count
- Unable to prove average rental period ≤ 7 days
- Using property manager but claiming material participation

Audit Defense:

- Detailed time logs with specific activities
- Supporting documentation (emails, texts, invoices)
- Rental platform records showing booking patterns
- Proof you managed more than any other individual

Long-Term Planning

5-Year Strategy:

- **Years 1-2:** Build material participation history, deduct setup losses

- **Years 3-5:** Optimize for profitability, maintain material participation
- **Year 5+:** Scale business, consider property ownership with cost segregation

Exit Planning: If you ever reduce participation, you may trigger passive loss limitations. Plan transitions carefully.

Strategy 8: Vehicle Section 179 Deduction

\$2,320 - \$4,350 Annual Value

Q4 2025

Strategy Overview

The One Big Beautiful Bill Act (July 2025) increased Section 179 expensing limits to \$2,500,000, allowing businesses to immediately deduct the full cost of qualifying vehicle purchases (subject to certain limitations) rather than depreciating over several years.

What Vehicles Qualify

Heavy Vehicles (>6,000 lbs GVWR) - Full Deduction:

- Most SUVs, trucks, vans used >50% for business
- Section 179 limit: Up to \$30,500 (SUVs) or full cost (trucks/vans)
- Plus 100% bonus depreciation on remainder (now permanent)
- Examples: Ford F-150, Chevy Suburban, Mercedes GLS, Toyota Sequoia

Light Vehicles (<6,000 lbs GVWR) - Limited Deduction:

- Passenger cars, crossovers, small SUVs
- First year limit: \$12,200 (regular) or \$20,200 (with bonus depreciation)
- Examples: Honda Accord, Tesla Model 3, RAV4

Determining GVWR (Gross Vehicle Weight Rating)

Check driver's side door jamb sticker or manufacturer specifications. Must exceed 6,000 lbs loaded weight (not curb weight).

Business Use Percentage Requirement

Must use vehicle >50% for business purposes

What counts as business use:

- Driving to STR properties for management/maintenance
- Meeting with vendors, contractors, property owners
- Picking up supplies for STR properties
- Business meetings, banking, post office for business
- Travel to/from co-working space or client meetings

What does NOT count as business use:

- Commuting from home to regular office
- Personal errands, vacation, family activities
- Driving for personal reasons

Mileage Log Required: You MUST maintain contemporaneous mileage log to prove >50% business use. Failure to maintain log can result in entire deduction being disallowed plus penalties.

Example Scenarios

Scenario 1: Heavy SUV Purchase

- Vehicle: 2025 Chevrolet Suburban (GVWR 7,500 lbs)
- Purchase price: \$70,000
- Business use: 80%
- Section 179 deduction: \$30,500 (SUV limit)
- Bonus depreciation: $(\$70,000 - \$30,500) \times 80\% = \$31,600$
- Total first-year deduction: \$62,100
- Tax savings: $\$62,100 \times 29\% = \mathbf{\$18,009}$

Scenario 2: Truck Purchase (Full Deduction)

- Vehicle: 2025 Ford F-150 (pickup truck)
- Purchase price: \$50,000
- Business use: 75%
- Section 179 deduction: $\$50,000 \times 75\% = \$37,500$ (full cost, no limit on trucks)
- Tax savings: $\$37,500 \times 29\% = \mathbf{\$10,875}$

Scenario 3: Conservative Purchase

- Vehicle: Used 2023 SUV (GVWR 6,200 lbs)
- Purchase price: \$35,000
- Business use: 70%

- Section 179 deduction: $\$30,500 \times 70\% = \$21,350$
- Bonus depreciation: $(\$35,000 - \$30,500) \times 70\% = \$3,150$
- Total deduction: $\$24,500$
- Tax savings: $\$24,500 \times 29\% = \mathbf{\$7,105}$

Timing Considerations

Must be placed in service by December 31, 2025

- "Placed in service" = ready and available for business use
- Not just purchased - must be titled and used by year-end
- Plan purchase for Q4 if you want 2025 deduction

New vs. Used Vehicles

Good News: Both new AND used vehicles qualify for Section 179 and 100% bonus depreciation under current law.

Used Vehicle Advantage:

- Lower purchase price
- Less depreciation risk
- Same tax benefits
- Can often find 2-3 year old heavy SUVs/trucks at 40-50% discount

Should You Buy or Wait?

Buy in 2025 If:

- You genuinely need vehicle for STR business operations
- You'll use it >50% for business (provable with mileage log)
- You have taxable income to offset (the deduction)
- Purchase makes business sense independent of tax benefit

Wait or Skip If:

- Purchase is primarily tax-motivated (not business necessity)
- Won't use >50% for business

- Don't have income to offset in 2025
- Would strain cash flow or increase debt unreasonably

Your Situation: With limited liquidity (\$2K cash) and \$20K-\$50K existing debt, vehicle purchase should be carefully considered. Don't buy just for the tax deduction if it creates financial strain.

Alternative: Consider purchasing in 2026 once STR business has positive cash flow and can support the purchase.

Financing Considerations

If financing vehicle purchase:

- Interest is separately deductible as business expense
- Must allocate interest between business/personal use
- Section 179 applies to purchase price, not loan amount
- Example: \$50,000 vehicle, 70% business use → deduct \$35,000 in year 1 + business portion of interest

Required Documentation

1. Mileage Log:

- Date, starting location, ending location, business purpose, miles
- Track EVERY trip (business and personal) to prove >50% business use
- Use app (MileIQ, Everlance) or detailed spreadsheet

2. Purchase Documentation:

- Bill of sale showing purchase date and price
- Title and registration
- Loan documents if financed

3. Placed in Service Evidence:

- First business use date
- Description of business use

4. GVWR Documentation:

- Photo of door jamb sticker
- Manufacturer specifications

Recapture Risk

Critical Compliance: If business use drops to 50% or below in any of the first 5 years after purchase, you must "recapture" the excess depreciation taken.

Example: Claimed \$40,000 Section 179 deduction in Year 1. In Year 3, business use drops to 40%. You would owe tax on the excess deduction plus interest.

Protection: Maintain detailed mileage logs for 6+ years to prove continued business use.

Lease vs. Buy

Option	Tax Treatment	Pros	Cons
Buy	Section 179 + bonus depreciation (immediate deduction)	Larger immediate deduction, asset ownership	Requires capital or financing
Lease	Deduct lease payments over time (business % only)	Lower upfront cost, always drive new vehicle	Smaller annual deductions, no asset ownership

Conservative Recommendation for Your Situation

Year 1 (2025): WAIT - Focus on STR business launch with current vehicle

Year 2 (2026): CONSIDER - Once STR business has 6+ months cash flow, evaluate vehicle purchase

Alternative for 2025: Claim mileage deduction (70¢/mile) for business use of personal vehicle - simpler, no capital required

Estimated 2025 Value of Mileage Method:

- Estimate: $500 \text{ business miles/month} \times 12 = 6,000 \text{ miles/year}$
- Deduction: $6,000 \times \$0.70 = \$4,200$
- Tax savings: $\$4,200 \times 29\% = \$1,218$ (NO capital required)

Tax Value Summary

Conservative (Wait, Use Mileage): \$1,218 tax savings, \$0 capital required

Moderate (Q4 2025 Used Heavy SUV): \$7,000 tax savings, ~\$30,000 capital required

Aggressive (Q4 2025 New Heavy SUV/Truck): \$10,000+ tax savings, \$50,000+ capital required

6. Investment Allocation Strategy

Revised Allocation (Emergency Fund Removed)

Per your direction, this allocation eliminates traditional emergency fund reserves and redirects that capital to Bitcoin accumulation while managing existing debt strategically.

Understanding the Risk Profile

By eliminating emergency fund reserves, you are accepting:

- Greater reliance on credit access (HELOC, credit cards) for unexpected expenses
- Increased exposure to Bitcoin volatility without cash buffer
- Potential need to liquidate Bitcoin at unfavorable prices in emergency
- Higher stress if income disruption occurs

This approach works best when:

- You have reliable income sources (STR business stabilized)
- Available credit remains accessible (\$80K HELOC cushion)
- You're comfortable with higher risk-reward profile
- Bitcoin thesis is long-term (no forced sales planned)

Phase 1: Current State (Month 1-6)

Reality Check

Current Resources:

- Liquid cash: \$2,000
- Monthly income: \$12,500-\$16,600 (\$150K-\$199K annually)
- Monthly fixed expenses: \$5,500-\$6,000
- Monthly surplus before debt service: \$6,500-\$10,600

- Debt service on \$20K-\$50K: ~\$400-\$1,000/month (estimated)
- **Net available for allocation: \$5,500-\$9,600/month**

Phase 1 Allocation (Building Foundation)

Category	% of Surplus	Monthly Amount	Purpose
STR Business Launch	50%	\$2,750-\$4,800	First unit setup, operating capital
Debt Reduction	30%	\$1,650-\$2,880	Eliminate \$20K-\$50K debt over 12-18 months
Bitcoin DCA	15%	\$825-\$1,440	Begin consistent accumulation
Operating Buffer	5%	\$275-\$480	Build \$2K→\$5K cash buffer only

Phase 1 Target Outcomes (6 months):

- STR Unit 1 launched and cash flowing
- Debt reduced by \$10K-\$17K
- Bitcoin position: \$5K-\$8.6K accumulated
- Minimal cash buffer: \$3K-\$5K total

Phase 2: Scaling STR Business (Month 7-18)

Assumptions:

- Unit 1 generating \$1,000-\$1,500/month net profit
- Units 2-3 launching in months 10-15
- Combined STR net profit by month 18: \$3,000-\$5,000/month

Category	% of Total Surplus	Monthly Amount	Notes
Debt Elimination	40%	\$3,400-\$5,840	Aggressive payoff, freed up income
Bitcoin DCA	40%	\$3,400-\$5,840	Increased accumulation rate
STR Reinvestment	15%	\$1,275-\$2,190	Units 2-3 setup, improvements
Opportunity Fund	5%	\$425-\$730	Flexibility for deals, needs

Phase 2 Target Outcomes (12 months):

- \$20K-\$50K debt ELIMINATED
- 3 STR units operating
- Bitcoin accumulated: \$40K-\$70K
- Monthly surplus increased to \$8,500-\$14,600 (debt-free + STR income)

Phase 3: Debt-Free Wealth Building (Month 18+)

Assumptions:

- All non-mortgage debt eliminated
- 3 STR units stabilized: \$3,000-\$5,000/month net profit
- Total monthly surplus: \$8,500-\$14,600

Category	%	Monthly Amount	Annual Amount
Bitcoin DCA	65%	\$5,525-\$9,490	\$66K-\$114K

Category	%	Monthly Amount	Annual Amount
STRC/STRF (Yield)	15%	\$1,275-\$2,190	\$15K-\$26K
STR Expansion	10%	\$850-\$1,460	\$10K-\$18K (property down payment fund)
Accelerators	5%	\$425-\$730	\$5K-\$9K (IREN, ASST, OPEN)
Cash Buffer	5%	\$425-\$730	Maintain \$5K-\$10K only

Bitcoin Strategy Details

Dollar-Cost Averaging (DCA) Approach

Strategy: Consistent weekly or monthly purchases regardless of price

Benefits:

- Eliminates timing risk and emotional decision-making
- Averages out volatility over time
- Disciplined accumulation approach
- Simplifies decision process

Recommended Schedule:

- Phase 1: \$200-\$350/week (\$825-\$1,440/month)
- Phase 2: \$800-\$1,350/week (\$3,400-\$5,840/month)
- Phase 3: \$1,300-\$2,200/week (\$5,525-\$9,490/month)

Custody Progression

1. **Start (Balance \$0-\$10K):** Swan Bitcoin, River, Strike (KYC exchange with auto-DCA)

2. **Growth (\$10K-\$50K):** Hardware wallet (Ledger, Trezor, Coldcard)
3. **Accumulation (\$50K-\$250K):** Multi-sig setup (Casa, Unchained Capital)
4. **Wealth (\$250K+):** Consider IRA Bitcoin (tax-advantaged) + advanced multi-sig

Income-Generating Assets (STRC/STRF)

Purpose: Generate 10-12% annual yield to cover expenses if needed

When to Allocate: Phase 3 (after debt elimination)

Target Allocation: 15% of total investment flow (\$15K-\$26K annually)

Expected Annual Yield:

- Year 2: \$15K invested → \$1,500-\$1,800/year yield
- Year 3: \$40K accumulated → \$4,000-\$4,800/year yield
- Year 4: \$65K accumulated → \$6,500-\$7,800/year yield

Accelerators Portfolio (5% Allocation)

Small allocation to Bitcoin-adjacent companies for asymmetric upside:

- **IREN:** Bitcoin mining + AI infrastructure play
- **ASST:** Bitcoin treasury company
- **OPEN:** Bitcoin-focused financial services

Risk Profile: Higher volatility than Bitcoin, smaller position sizes

Target: 5% allocation = \$5K-\$9K annually in Phase 3

HELOC Strategy

\$80,000 HELOC Available - Use Strategically, Not Reactively

Appropriate Uses:

- First STR property down payment (after establishing arbitrage cash flow)
- Security deposits on additional STR units (if business credit insufficient)
- True emergencies where liquidating Bitcoin would be extremely unfavorable

Avoid Using HELOC For:

- Furniture and non-recoverable STR setup costs
- Bitcoin purchases (don't leverage for speculation)
- Lifestyle expenses or discretionary spending
- Debt consolidation unless interest savings significant

Repayment Priority: Any HELOC used should be repaid within 12-24 months from STR cash flow or business income.

3-Year Wealth Projection

Asset Category	Year 1	Year 2	Year 3
Bitcoin	\$5K-\$9K	\$45K-\$80K	\$110K-\$195K
STRC/STRF	\$0	\$15K-\$26K	\$40K-\$70K
Accelerators	\$0	\$5K-\$9K	\$15K-\$25K
STR Business Value	\$10K-\$20K	\$40K-\$70K	\$100K-\$150K
Debt Reduction	(\$10K) paid	ELIMINATED	\$0 debt
Cash/Buffer	\$3K-\$5K	\$5K-\$8K	\$5K-\$10K
TOTAL NET WORTH INCREASE	\$8K-\$14K	\$110K-\$193K	\$270K-\$450K

Assumptions: Conservative Bitcoin performance, STR business as projected, debt elimination in Year 2, no unexpected major expenses.

7. 90-Day Implementation Plan

Week 1-2: Foundation & Clarity

Priority 1: Resolve LLC Structure Confusion

- Day 1: Email Prime Corporate requesting clarification call
- Day 3-5: Conference call with Prime to understand:
 - Current structure of Beaumont Business Holdings
 - Status of "Operating LLC" mentioned in intake
 - Recommended structure for STR business
 - Whether separate operating LLC needed or existing structure works
 - Eileen's LLC structure and how it should coordinate
- Day 7: Receive written recommendations from Prime

Priority 2: Immediate Tax Strategies

- Day 1: Designate home office space, take photos, measure square footage
- Day 2: Begin tracking all business mileage (set up MileIQ or equivalent)
- Day 3: Research comparable rental rates for Augusta Rule
- Day 5: Draft accountable plan policy
- Day 7: Calculate 2025 projected business income for retirement account decision

Priority 3: STR Market Research

- Research Rhode Island STR regulations by municipality
- Analyze Airbnb/VRBO data for target markets (Providence, Newport, Warwick)
- Identify 3-5 potential properties for arbitrage
- Understand landlord requirements and typical lease terms

Week 3-4: Entity Setup & First Unit Planning

Entity Formation (if needed)

- Based on Prime recommendations, file formation documents for STR operating LLC
- Obtain EIN from IRS
- Open business checking account
- Set up accounting system (QuickBooks Self-Employed or Wave)

First STR Unit Target

- Narrow to 2-3 specific properties for Unit 1
- Contact landlords/property managers
- Prepare rental application materials
- Calculate detailed first-month budget
- Source furniture options (IKEA, Amazon, Facebook Marketplace)

Tax Strategy Implementation

- Adopt accountable plan formally
- Schedule first Augusta Rule event (if applicable)
- Open Solo 401(k) or SEP-IRA if income supports it
- Update W-4 if needed for withholding optimization

Week 5-8: First Unit Launch

Secure First Property

- Week 5: Sign lease for first unit
- Week 5: Order furniture and supplies
- Week 6: Set up utilities, internet, STR-specific insurance
- Week 6-7: Furnish and stage property
- Week 7: Professional photos
- Week 7: Create listings on Airbnb, VRBO
- Week 8: Launch and begin accepting reservations

Systems and Tracking

- Set up time tracking system (start Day 1 of operations)
- Create expense tracking system
- Set up automated messaging for guests
- Coordinate cleaning service
- Begin documenting all material participation hours

Fundability Groundwork

- Apply for D-U-N-S number
- Ensure business phone and address on file
- Begin establishing business credit file
- Apply for first business credit card (starter card)

Week 9-12: Optimization & Scaling Preparation

Unit 1 Optimization

- Monitor booking patterns and adjust pricing
- Gather guest feedback and make improvements
- Refine operations and systems
- Calculate actual profit margins

Q4 Tax Planning

- Review YTD business income and tax liability
- Decide on vehicle purchase (Section 179) if applicable
- Make retirement account contributions if needed
- Execute remaining Augusta Rule days
- Review accountable plan reimbursements

2026 Planning

- Evaluate Units 2-3 launch timing
- Assess S-Corp election timing (need 2025 profit data)
- Plan business credit applications for early 2026

- Schedule tax planning meeting for January 2026

Critical Success Metrics

Timeframe	Metric	Target	How to Track
Week 2	LLC Clarity	Confirmed structure with Prime	Written documentation received
Week 4	Entity Setup	Operating LLC formed (if needed)	EIN obtained, bank account open
Week 8	STR Unit 1	Property listed and accepting bookings	First reservation confirmed
Month 3	Unit 1 Profitability	\$800-\$1,500/month net profit	Monthly P&L statement
Month 3	Material Participation	125+ hours logged (on pace for 500+)	Time tracking reports
Month 3	Tax Strategies	5+ strategies actively implemented	Documentation checklist
Q4 2025	Fundability	Business credit file established	D&B profile active, 1 trade line
Dec 31, 2025	Tax Savings	\$18,500-\$43,500 value captured	Year-end tax projection

8. Risk Mitigation & Contingency Planning

Primary Risks

Risk #1: Limited Liquidity + Existing Debt

Current State: \$2K cash, \$20K-\$50K existing debt, \$80K HELOC available

Risk: Unexpected expense or income disruption could force HELOC use or asset liquidation at unfavorable time

Mitigation Strategies:

- Maintain \$3K-\$5K minimum cash buffer through Phase 1-2
- Prioritize debt elimination in first 18 months
- Build STR business conservatively (one unit at a time)
- Keep HELOC available as true emergency backstop, not primary funding
- Ensure multiple income sources (don't rely solely on STR income initially)

Risk #2: STR Regulatory Changes

Risk: Rhode Island cities could restrict or ban short-term rentals

Recent Trends: Many municipalities adding restrictions, licensing requirements, or occupancy limits

Mitigation Strategies:

- Research current regulations thoroughly before signing leases
- Choose markets with STR-friendly policies
- Join local STR host associations for early warning on policy changes
- Ensure lease allows conversion to medium-term rentals (30+ days) if needed
- Diversify across multiple municipalities if scaling to 3+ units
- Maintain relationships with landlords who support STR operations

Risk #3: Material Participation Documentation Failure

Risk: Inability to prove >500 hours material participation eliminates STR loss deductions

Impact: Could disallow \$10K-\$20K in Year 1 deductions (\$2,900-\$5,800 tax impact)

Mitigation Strategies:

- Begin time tracking from Day 1 of STR operations
- Use automated time tracking app to remove human error
- Set weekly reminders to review and update time logs
- Save supporting documentation (emails, texts, invoices) organized by date
- Monthly review to ensure on pace for 500+ hours (42+ hours/month)
- Be detailed in activity descriptions (helpful during audit)

Risk #4: S-Corp Timing and Reasonable Compensation

Risk: Electing S-Corp without sufficient profit, or setting unreasonable salary

Impact: Additional costs without benefit, or IRS audit/reclassification

Mitigation Strategies:

- Wait until 2025 profit is confirmed >\$60K before electing S-Corp
- Work with CPA to determine reasonable compensation range
- Document salary determination methodology
- Research industry salary data for your role/region
- Be prepared to defend salary as reasonable if audited

Risk #5: Bitcoin Volatility Without Emergency Buffer

Risk: By eliminating emergency fund, forced Bitcoin liquidation during drawdown

Example: Emergency arises during Bitcoin -30% correction, forced to sell at loss

Mitigation Strategies:

- Maintain small \$3K-\$10K cash buffer despite allocation plan

- Preserve HELOC availability as emergency backstop
- Keep at least one credit card at \$0 balance for emergencies
- Accelerate debt elimination to increase financial flexibility
- View Bitcoin as 3+ year hold minimum (don't sell during corrections)
- Consider allocating 5-10% to stablecoins as intermediate buffer if nervous

Contingency Scenarios

Scenario 1: STR Unit 1 Fails to Achieve Profitability

If Unit 1 loses money after 3 months:

- STOP: Do not launch Units 2-3
- Diagnose: Pricing too low? Location poor? Excess expenses?
- Fix or Exit: Optimize operations OR exit lease and pivot
- Document losses for tax purposes (still valuable with material participation)
- Pivot to different STR strategy (different market, cohosting instead of arbitrage)

Scenario 2: Income Lower Than Expected in 2025

If household income comes in closer to \$150K than \$199K:

- Reduce retirement account contribution target
- Focus on strategies with \$0 capital requirement (home office, mileage, accountable plan)
- Delay vehicle purchase to 2026
- Slow STR scaling (focus on profitability, not growth)
- Accelerate debt payoff to reduce monthly obligations

Scenario 3: Major Unexpected Expense

If \$5K-\$15K emergency arises:

- Priority 1: Use available cash buffer (\$3K-\$5K)
- Priority 2: Put necessary expenses on 0% APR business credit card
- Priority 3: Pause Bitcoin DCA temporarily (redirect to expense)
- Priority 4: HELOC draw if needed (with repayment plan)
- Last Resort: Liquidate small Bitcoin position if unavoidable

Annual Review Checklist

Schedule annual comprehensive review (recommend January of each year) to assess:

1. Did we achieve tax savings targets? (Review actual vs. projected)
2. Is STR business profitable and sustainable?
3. Are we on track with debt elimination?
4. Is Bitcoin allocation still appropriate given total financial picture?
5. Should we adjust risk profile based on changed circumstances?
6. What strategies should be added/removed for next year?
7. Any new tax law changes affecting strategy?
8. Is entity structure still optimal?

DISCLAIMER: This wealth plan is for informational purposes only and does not constitute tax, legal, or financial advice. Tax laws are complex and subject to change. Implementation of any strategy should be coordinated with qualified tax and legal professionals. Past performance is not indicative of future results. All investment allocations carry risk, including potential loss of principal.